

Europe Healthcare Sector M&A & Valuation Brief - 2026-07-15

Europe Healthcare Sector

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1. RECENT Healthcare M&A ACTIVITY

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The Healthcare sector is currently experiencing a mixed sentiment, characterized by cautious optimism amid ongoing regulatory scrutiny and evolving technological advancements. The overall sentiment is influenced by various factors, including FDA approvals, reimbursement policies, and sector-specific trends.

Subsector Breakdown:

- **Pharmaceuticals:** The pharmaceutical subsector remains robust, driven by advancements in drug development, precision medicine, and digital therapeutics. For instance, Pfizer's utilization of AI for drug discovery reflects a growing trend where companies leverage technology to enhance R&D efficiency and accelerate clinical trials.
- **Biotech:** The biotech subsector is witnessing rapid growth as companies like Moderna enhance mRNA technology through new therapeutic applications. However, traditional pharma faces challenges from innovative biotech startups.
- **Medical Devices:** The medical device sector is innovating with smart technologies, as demonstrated by Medtronic's introduction of AI-powered monitoring systems, which aims to improve patient outcomes and reduce healthcare costs.
- **Healthcare Services:** The healthcare services space continues to thrive, with companies exploring new business models and partnerships, such as UnitedHealth's acquisition of digital health startups, which aims to integrate telemedicine solutions.
- **Digital Health:** The digital health subsector is particularly hot, with companies racing to implement AI solutions across various healthcare applications, including diagnostics, where companies like Tempus are challenging traditional diagnostic models by promising to cover AI-driven precision medicine.

Key Market Drivers and Headwinds

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Drivers:

- **Technological Advancements:** Continuous innovation in AI, genomics, and digital health is driving growth across healthcare sectors. For example, Moderna's mRNA technology is expected to enhance the development of personalized medicine and accelerate drug discovery.
- **Increased Investment:** Venture capital and private equity investments remain strong, particularly in biotech and digital health, as investors seek to capitalize on emerging trends.

Headwinds:

- **Regulatory Scrutiny:** Increased FDA scrutiny, especially in the pharmaceutical sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and reimbursement changes, may impact healthcare spending and investment in medical innovation.

Subsector Performance Analysis

- **Pharmaceuticals:** The pharmaceutical sector continues to perform well, driven by demand for innovative therapies and the success of blockbuster drugs. Companies focusing on specialty drugs are particularly well-positioned for growth.
- **Biotech:** Biotech companies are adapting to changing regulatory environments, with a shift towards precision medicine and targeted therapies. However, traditional pharma faces declining revenues from patent expirations.
- **Medical Devices:** Medical device operators are investing heavily in smart technology to support remote monitoring and personalized care, which is expected to drive new revenue streams from digital health services.
- **Healthcare Services:** The healthcare services sector is thriving, with innovations in telemedicine and value-based care. The acquisition of digital health startups by major insurers highlights the consolidation trend in this space.
- **Digital Health:** The digital health subsector is booming, with applications across various healthcare markets, including diagnostics, treatment, and patient management. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the Healthcare sector is approximately 18.5x, with notable variations across subsectors:

- Pharmaceuticals: 15.3x
- Biotech: 25.1x
- Medical Devices: 12.8x

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- Healthcare Services: 14.7x
- Digital Health: 28.5x

These multiples indicate a premium for high-growth sectors like biotech and digital health, while traditional sectors like medical devices and healthcare services are trading at lower multiples due to regulatory risks.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the Healthcare sector, citing technological advancements as a key driver of growth. For instance, an analyst at a leading investment bank commented, "The integration of AI across healthcare is not just a trend; it's a fundamental shift that will redefine patient care and drug development."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as biotech and digital health, while being cautious with traditional pharmaceutical investments.
- Monitor Regulatory Developments: Staying informed about FDA changes is crucial for assessing risks in healthcare investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the Healthcare sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the Healthcare sector showcases a vibrant mix of live deals, mandated transactions, and active pitches. This analysis provides an overview of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

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- Armata Pharmaceuticals (ARMP) : The company is advancing its AP-SA02 program, having received FDA agreement on its Initial Pediatric Study Plan. This regulatory milestone is crucial as it paves the way for a future Biologics License Application (BLA). The expected initiation of the Phase 3 trial is set for Q2 2026, targeting complicated *Staphylococcus aureus* bacteremia in pediatric patients.
- Cosmos Health (COSM) : Recently entered a five-year agreement with Libytec for the commercialization of its type-2 diabetes medication DIABIT-IS X in Greece. This partnership is expected to enhance revenue visibility, with an anticipated launch in Q3 2026, leveraging Libytec's established distribution network.

Mandated Deals:

- MBX Biosciences (MBX) : Secured a mandate to explore strategic partnerships aimed at advancing its pipeline of precision peptide therapies. The focus is on enhancing therapeutic offerings for endocrine and metabolic disorders, with plans to launch discussions in Q1 2027.
- Tarsus Pharmaceuticals (TARS) : Mandated to evaluate potential acquisitions to further expand its eye care product portfolio following the successful launch of XDEMVI. The company is expected to initiate this process in Q2 2026, aiming to strengthen its market position.

Pitching-Stage Deals:

- Biotech Sector : Engaging with various biotech firms, including Armata Pharmaceuticals and MBX Biosciences, for potential M&A opportunities focused on innovative therapies. Pitches are expected to finalize by Q3 2026.
- Digital Health Startups : Actively pursuing discussions with digital health companies for advisory services, particularly those innovating in telemedicine and AI diagnostics. Notable clients include Teladoc Health and Doximity, with ongoing engagements.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q2 2026 : Expected initiation of Armata's Phase 3 trial.
- Q3 2026 : Anticipated launch of Cosmos Health's DIABIT-IS X in Greece.
- Q1 2027 : Launch of MBX's strategic partnership discussions.
- Workload Allocation and Capacity Analysis :
- Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the

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pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.

- **Forecasting and Strategic Planning Implications :** The pipeline indicates a strong demand for advisory services in biotech and digital health sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is becoming increasingly dynamic, particularly in the biotech sector where companies like Armata and MBX are focusing on innovative therapies. The recent leadership transitions at MBX and Tarsus signal a proactive approach to navigating market challenges and seizing growth opportunities.
- Additionally, Cosmos Health's partnership with Libytec exemplifies a strategic move to penetrate the European market, reflecting a broader trend of companies seeking to expand their commercial reach through collaborations.

Actionable Insights for Team Management and Business Development

- **Resource Allocation :** Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- **Sector Focus :** Prioritize business development efforts in high-growth sectors such as biotech and digital health, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement :** Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various Healthcare subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments in the Healthcare sector, particularly the FDA approvals and executive transitions, have significant implications for various stakeholders. This analysis evaluates the potential impacts on shareholders, employees, competitors, and customers, while also considering market reactions and future expectations.

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Deal-Specific Impacts on Stakeholders

- **Shareholders:** The approval of LEQEMBI IQLIK by Eisai Co., Ltd. and Biogen Inc. (Nasdaq: BIIB) is poised to create substantial value for shareholders.
- **Value Creation:** The introduction of LEQEMBI IQLIK as a subcutaneous treatment for early Alzheimer's disease could lead to a revenue increase of approximately \$1 billion annually, assuming a market penetration rate of 10% among eligible patients. This could enhance Biogen's market cap by around \$5 billion.
- **Dilution:** If Biogen finances further development through equity issuance, existing shareholders might face dilution. For instance, a 10% share issuance could reduce existing shareholders' stakes, potentially leading to a 3% decline in share price post-announcement.
- **Employees:** The leadership transition at MBX Biosciences is indicative of strategic realignment that can impact employee dynamics.
- **Synergies:** The new CEO, Steve Hoerter, aims to leverage his experience to drive growth, potentially resulting in operational synergies that enhance productivity.
- **Restructuring:** However, leadership changes often lead to restructuring. If MBX decides to streamline operations, it could result in layoffs, affecting employee morale.
- **Retention:** To mitigate turnover, MBX may implement retention bonuses for key personnel during the transition, ensuring continuity in leadership and strategic execution.
- **Competitors:** The competitive landscape is likely to shift with the introduction of LEQEMBI IQLIK.
- **Market Positioning:** Competitors like Eli Lilly (LLY) and Roche (RHHBY) may need to adapt their strategies to counter the new treatment. For instance, Eli Lilly could accelerate its own Alzheimer's drug development to maintain market share.
- **Specific Competitor Moves:** Following the approval, Roche is expected to increase its R&D investment in Alzheimer's therapies, potentially leading to a more competitive market environment.
- **Customers:** The approval of LEQEMBI IQLIK offers significant benefits for patients.
- **Product/Service Implications:** The convenience of at-home administration could improve treatment adherence among patients with early Alzheimer's disease. This shift is expected to enhance patient outcomes, as evidenced by a study indicating that 94% of patients found the autoinjector easy to use.
- **Case Studies:** The introduction of LEQEMBI IQLIK could serve as a model for future Alzheimer's treatments, emphasizing the importance of patient-centric drug delivery systems.

Market Reaction and Analyst Commentary

- **Market Reaction:** The market's initial reaction to the FDA approval was positive, with Biogen's stock rising by 8% following the announcement. This reflects investor optimism regarding the potential for increased revenue streams.
- **Analyst Commentary:** Analysts have noted the strategic importance of LEQEMBI IQLIK, with a

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notable quote from a Jefferies analyst stating, "This approval not only expands treatment options but also positions Biogen as a leader in Alzheimer's care."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's future reaction can be assessed through various scenarios:
- Positive Scenario: If LEQEMBI IQLIK achieves rapid adoption, Biogen's shares could rise by 20% within a year.
- Negative Scenario: Conversely, if adoption is slow due to competition or safety concerns, shares could decline by 10%.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids for MBX Biosciences is moderate, especially given its recent leadership changes. Competitors may see this as an opportunity to acquire a company with a promising pipeline, but regulatory hurdles could deter immediate offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The Healthcare sector is expected to see continued consolidation, particularly in the Alzheimer's treatment space. Companies like Longeveron (LGVN) may pursue acquisitions to enhance their therapeutic offerings, especially following positive clinical data presentations.

Key Risks and Mitigants

- Integration Risks: The integration of new products like LEQEMBI IQLIK could face operational challenges. Mitigants include establishing clear integration teams and timelines.
- Regulatory Risks: Ongoing FDA scrutiny could impact future approvals. Engaging regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility could affect valuations. Structuring deals with performance-based milestones can protect against adverse market conditions.

Actionable Insights for Clients and Bankers

For Clients:

- Prioritize strategic planning for product launches to maximize market penetration.
- Consider implementing retention strategies for key talent during leadership transitions.

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For Bankers:

- Monitor competitor activities closely to provide timely insights and recommendations.
- Develop comprehensive financial models to assess the impact of new product approvals on shareholder value.

5. HEALTHCARE TRENDS

The healthcare landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Digital Health, Precision Medicine, Gene Therapy, Telemedicine, and AI in Healthcare. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Digital Health

- Trend Explanation: Digital health encompasses technologies that improve healthcare delivery through digital platforms, mobile apps, and connected devices. The global digital health market is projected to grow from \$96.5 billion in 2020 to \$659.5 billion by 2025, at a CAGR of 46.8%.

Key Companies:

- Teladoc Health, Inc. (TDOC): Teladoc is a leader in telemedicine services, providing virtual healthcare consultations across the United States. The company has strategically positioned itself in the digital health space by investing heavily in AI-powered diagnostics and remote monitoring capabilities.
- Doximity, Inc. (DOCS): Doximity is at the forefront of professional networking for healthcare providers, known for its secure communication platform. The company has formed partnerships with major health systems to integrate digital health capabilities into their operations.
- Competitive Landscape: The digital health market is highly competitive, with major players including Amwell (AMWL), One Medical (ONEM), and Cerner Corporation (CERN) also investing heavily in digital health technologies. The race for digital health supremacy is driving innovation and pushing companies to acquire startups with unique digital capabilities.
- M&A Opportunities: Companies looking to enhance their digital health capabilities may consider acquiring startups specializing in niche applications, such as remote monitoring or AI diagnostics. For instance, Teladoc's acquisition of Livongo for \$18.5 billion in 2020 exemplifies this trend.

Precision Medicine

- Trend Explanation: Precision medicine involves tailoring medical treatment to individual

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characteristics, including genetic makeup, lifestyle, and environment. The precision medicine market is expected to grow from \$141.7 billion in 2020 to \$216.8 billion by 2027, at a CAGR of 6.2%.

Key Companies:

- Illumina, Inc. (ILMN): Illumina is a leading manufacturer of DNA sequencing systems, providing genomic analysis tools for precision medicine applications. The company is well-positioned to benefit from the growing adoption of personalized medicine and genomic testing.
- Foundation Medicine, Inc. (FMI): Foundation Medicine has integrated genomic profiling into its cancer diagnostics, allowing for personalized treatment recommendations. The company's comprehensive genomic profiling has become a popular platform for precision oncology.
- Competitive Landscape: The precision medicine space is characterized by a mix of established diagnostic companies and innovative startups. Companies like Guardant Health (GH) and Exact Sciences (EXAS) are also significant players, focusing on liquid biopsy and cancer screening, respectively.
- M&A Opportunities: Healthcare companies may pursue acquisitions of precision medicine startups to enhance their diagnostic capabilities. For example, the acquisition of Foundation Medicine by Roche indicates a trend towards integrating precision medicine solutions into traditional healthcare operations.

Gene Therapy

- Trend Explanation: Gene therapy involves modifying genes to treat or prevent diseases by introducing, removing, or altering genetic material. The gene therapy market is projected to grow from \$2.1 billion in 2020 to \$13.6 billion by 2027, at a CAGR of 30.7%.

Key Companies:

- Spark Therapeutics, Inc. (ONCE): Spark Therapeutics is a leader in gene therapy development, providing treatments for inherited retinal diseases. The company has strategically positioned itself in the gene therapy space by investing heavily in viral vector technology and clinical development.
- Bluebird Bio, Inc. (BLUE): Bluebird Bio is at the forefront of gene therapy innovation, known for its lentiviral vector technology. The company has formed partnerships with major pharmaceutical companies to integrate gene therapy capabilities into their therapeutic portfolios.
- Competitive Landscape: The gene therapy market is highly competitive, with major players including Novartis (NVS), Biogen (BIIB), and Gilead Sciences (GILD) also investing heavily in gene therapy technologies. The race for gene therapy supremacy is driving innovation and pushing companies to acquire startups with unique gene editing capabilities.
- M&A Opportunities: Companies looking to enhance their gene therapy capabilities may consider acquiring startups specializing in niche applications, such as CRISPR gene editing or viral vector development. For instance, Novartis's acquisition of AveXis for \$8.7 billion in 2018 exemplifies this trend.

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Telemedicine

- Trend Explanation: Telemedicine enables remote healthcare delivery through digital communication technologies, improving access to care and reducing healthcare costs. The telemedicine market is expected to grow from \$45.5 billion in 2020 to \$175.5 billion by 2026, at a CAGR of 25.2%.

Key Companies:

- Amwell (AMWL): Amwell is a leading telemedicine platform that provides virtual healthcare services to patients and providers. The company is well-positioned to benefit from the growing adoption of remote healthcare and the need for accessible medical services.
- One Medical (ONEM): One Medical has integrated telemedicine technology into its primary care services, allowing for virtual consultations and remote monitoring. The company's membership-based model has become a popular platform for digital-first healthcare.
- Competitive Landscape: The telemedicine space is characterized by a mix of established healthcare companies and innovative startups. Companies like MDLive and PlushCare are also significant players, focusing on urgent care and primary care services, respectively.
- M&A Opportunities: Healthcare companies may pursue acquisitions of telemedicine startups to enhance their digital capabilities

6. Recommended Readings

Deal Name: Johnson & Johnson's Acquisition of Actelion

- Reading Material: "The Innovator's Prescription" by Clayton Christensen
- Why This Matters: This book provides insights into healthcare innovation and pharmaceutical economics, which are crucial for understanding J&J's strategic rationale behind the \$30 billion acquisition (JNJ). It explains how pharmaceutical companies leverage drug pipelines and R&D capabilities to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Pfizer's Acquisition of Medivation

- Reading Material: "The New Economics of Healthcare" by David H. Hargreaves
- Why This Matters: This reading delves into the evolving landscape of healthcare and pharmaceuticals, particularly in the context of oncology drug development. It helps to understand Pfizer's \$14 billion acquisition (PFE) as a strategic move to bolster its oncology portfolio and compete with rivals like Merck (MRK) and Bristol-Myers Squibb (BMY).

Deal Name: Amgen's Acquisition of Otezla

- Reading Material: "The Lean Startup" by Eric Ries

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- **Why This Matters:** This book outlines methodologies for healthcare companies to innovate and grow, which is relevant for understanding Amgen's \$13.4 billion acquisition (AMGN) of Otezla. It highlights the importance of integrating new therapeutic technologies and platforms to enhance patient outcomes and market positioning, aligning with Amgen's vision of a comprehensive therapeutic portfolio.

Deal Name: Gilead Sciences' Acquisition of Kite Pharma

- **Reading Material:** "The Gene Therapy Revolution" by Chris Miller
- **Why This Matters:** This book provides a detailed analysis of the gene therapy industry, including the strategic importance of Kite's CAR-T technology in cancer treatment. Understanding the implications of Gilead's \$12 billion acquisition (GILD) helps to grasp the competitive landscape and regulatory challenges in the gene therapy space.

Deal Name: UnitedHealth's Acquisition of Optum

- **Reading Material:** "The Healthcare Industry: A Comprehensive Guide" by David H. Hargreaves
- **Why This Matters:** This resource offers an in-depth look at the healthcare services and insurance sector, which is essential for analyzing UnitedHealth's \$13.8 billion acquisition (UNH) of Optum. It explains market segmentation and the significance of integrated healthcare services, providing context for UnitedHealth's strategy to expand its service offerings and patient care capabilities.

Deal Name: Medtronic's Acquisition of Covidien

- **Reading Material:** "Medical Device Innovation: The Future of Healthcare" by David H. Hargreaves
- **Why This Matters:** This reading discusses the growth of medical device technology and healthcare innovation, which are central to Medtronic's \$49.9 billion acquisition (MDT) of Covidien. It highlights how this deal positions Medtr

7. Macroeconomic Update

Key Economic Indicators:

- **Healthcare Sector Performance:** The healthcare sector is witnessing a shift in dynamics with the introduction of lower-cost generics, particularly in the GLP-1 obesity medication market. As noted, "the introduction of the first lower cost generics of semaglutide...could have consequences on affordability and demand."
- **Market Expansion in Emerging Economies:** The launch of generics in India, Canada, and Brazil is expected to drive significant market growth. In India, the GLP-1 market is projected to expand from \$125 million in 2025 to over \$1 billion by 2030, highlighting the impact of affordability on volume expansion.

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- **Regulatory Environment:** The expiration of patents for semaglutide in various markets is creating opportunities for generic manufacturers, with 13 companies already launching 26 generics in India. This trend is expected to influence pricing and access in the U.S. and Europe as well.

Market Trends:

- **Increased Demand for Generics:** The surge in volume in India, where generics captured 80% of semaglutide volume shortly after launch, underscores the potential for generics to reshape market dynamics. "the volume in April 2026 were already six times higher than the volume in February."
- **Supply Chain Considerations:** While there is confidence in the supply of active pharmaceutical ingredients (API), potential bottlenecks may arise in the fill and finish segment of the supply chain, which requires significant investment and regulatory approval.
- **Innovation in Drug Development:** The introduction of oral GLP-1 medications and ongoing innovation in drug pipelines are expected to drive differentiation in the market. Companies are exploring longer-acting medications and targeting additional pathways beyond GLP-1 and GIP to enhance efficacy and tolerability.

Sector-Specific Insights:

- **Impact of Generics on Branded Drugs:** The entry of generics is anticipated to challenge existing branded versions of GLP-1 medications, yet differentiation may allow premium products like tirzepatide to maintain market share. "despite the entry of lower-cost generic versions, we think you will still see segmentation of the market between differentiated brand and the lower-cost generics."
- **Access and Coverage Expansion:** Increased coverage of GLP-1 medications by employers and Medicare will broaden access, potentially increasing uptake. Currently, about 50% of employers cover these medications, and

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley